



# Chapter 3: Why Everybody Trades: Comparative Advantage

International Economics, 18th Edition, Pugel

# Principle of Absolute Advantage

A country is expected to

- 1) **export** goods in which it has an absolute cost advantage, and
- 2) **import** goods in which it has an absolute cost disadvantage

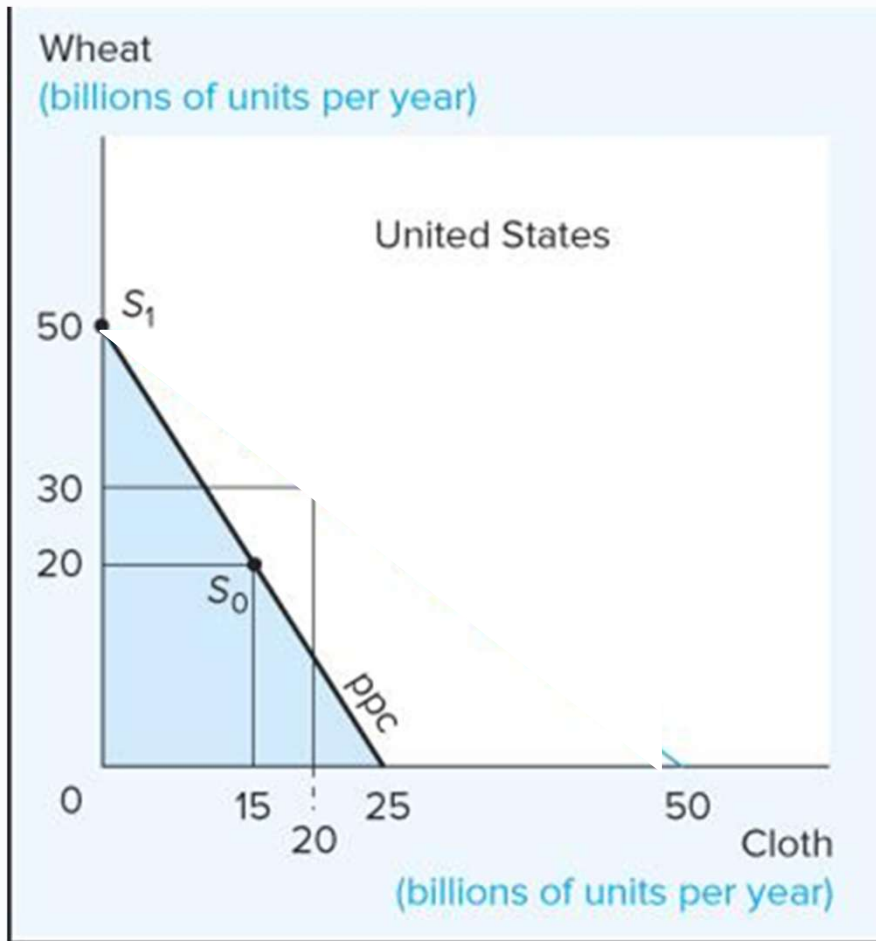
# Theory of Comparative Advantage

A country will

- 1) **export** products that it can produce at a low opportunity cost (in terms of other goods that could be produced within the country).
- 2) **import** products that it would otherwise produce at a high opportunity cost.

# Comparative Advantage & Relative Price

## No Trade

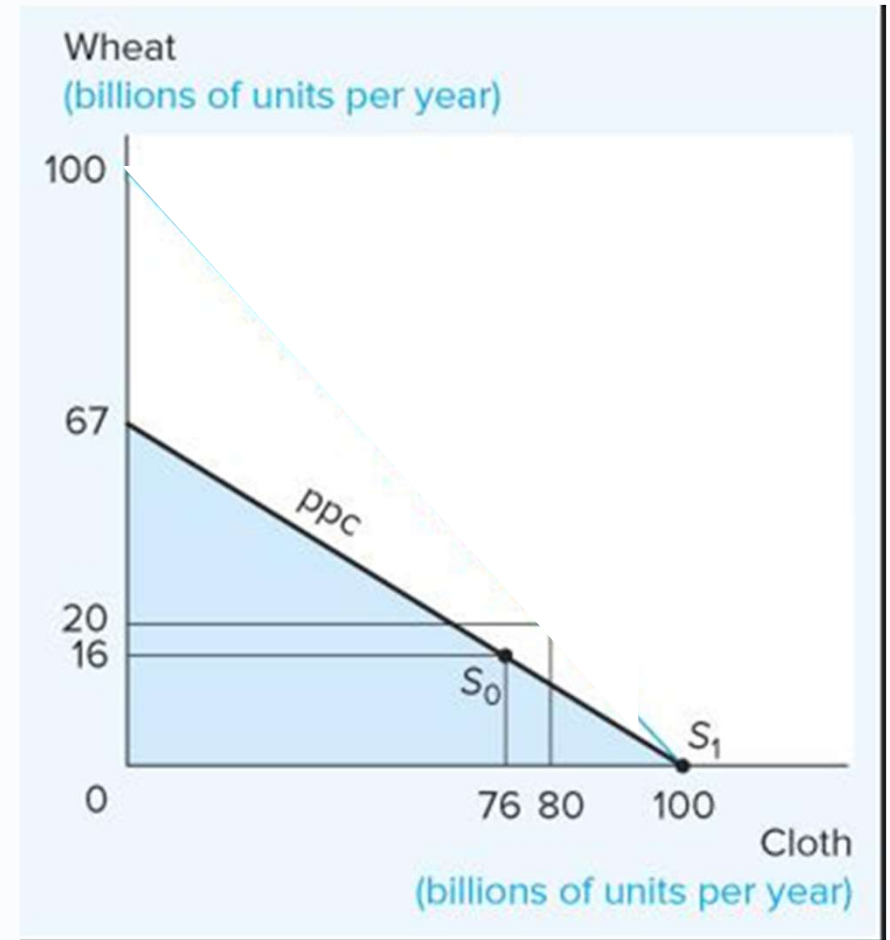


| Price | US                                        |
|-------|-------------------------------------------|
| Cloth | 50 b wheat / 25 b cloth<br><b>2.0 W/C</b> |
| Wheat | 25 b cloth / 50 b wheat<br><b>0.5 C/W</b> |

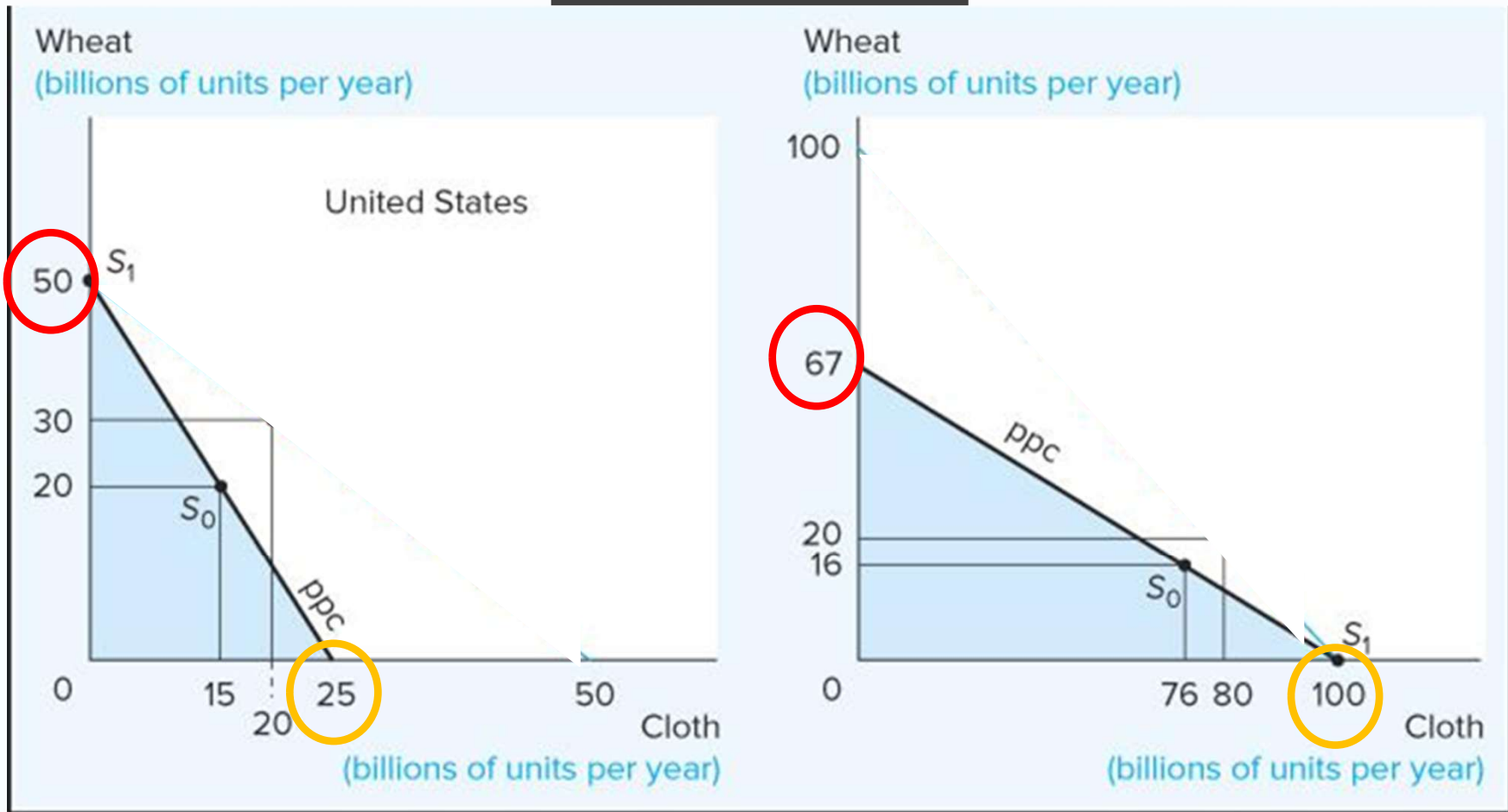
# Comparative Advantage & Relative Price

## No Trade

| Price | Rest of World                               |
|-------|---------------------------------------------|
| Cloth | 67 b wheat / 100 b cloth<br><b>0.67 W/C</b> |
| Wheat | 100 b cloth / 67 b wheat<br><b>1.5 C/W</b>  |



# Comparative Advantage & Relative Price With Trade



|             | US  |   | RoW |
|-------------|-----|---|-----|
| Wheat       | 50  | < | 67  |
| Cloth       | 25  | < | 100 |
| Price (C/W) | 0.5 | < | 1.5 |



# The Gains from Trade

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